FEDERAL GRANTS AND RESOURCE ALLOCATION[1]

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THE "resource-allocation," or "efficiency," argument is, to the economist, perhaps the most significant of the several objections which have been made to the transfer of income by the central government from the high-income areas to the low-income areas within a unified economy. This argument has been present in much of the literature on the fiscal problem of federal countries, and it has recently been advanced in cogent fashion by A. D. Scott. It can be summarized best in his words:

> There is a valid objection, on the grounds of inefficiency, to making such transfers. This objection is that such transfers provide amenities to poor people in resource-poor states, a situation which may be undesirable in the long run for the following reason: the maximum income for the whole country, and so the highest average personal income, are to be achieved only by maximising national production. This in turn can be achieved only when resources and labour are combined in such a way that the marginal product of similar units of labour is the same in all places. An increase will result when labour is transferred from places where its marginal product is low to places where it is high. . . .
>
> It is contended here that transfers of government income from place to place counteract this incentive to labour mobility and thus prevent the maximisation of national production.[2]

This paper will examine critically the validity of the above argument. It will be necessary to outline the conditions required to make the argument theoretically acceptable and to determine whether such conditions are approximated in the real world. Finally, the implications of the argument for other problems of social and economic policy will be considered. Although the analysis is intended to be of general applicability, factually it is based upon the conditions prevailing in the United States.

I

Two conditions must be present in order that the line of reasoning summarized in the above quotation from Scott be valid. First, income differentials among regional units must reflect resource disequilibria, if they are to be eliminated, or at least substantially reduced, by the shifting of resources. Second, the desirable shifting of resources must be reduced by the transfers of income from the high- to the low-income areas.

In order to examine the second condition, let the first be assumed present. As-

[1] I am indebted to Professor M. R. Colberg for helpful suggestions.

[2] A. D. Scott, "A Note on Grants in Federal Countries," *Economica*, XVII (November, 1950), 418 f.

The same point was recently made by Dean Somers in specific reference to my work: "The maximization of economic welfare requires mobility of resources from less productive to more productive uses. This includes mobility from a backward, depressed or declining section of the country to growing and prosperous sections. The national income may be increased by such transfers and presumably also is the social welfare. Buchanan's plan would freeze the economy into a sort of stationary state" (H. M. Somers, "Government Expenditures and Economic Welfare," *Revue de science et de législation financières*, XLIII [1951], 11). The reference is to the plan proposed in my "Federalism and Fiscal Equity," *American Economic Review*, XL (September, 1950), 583–99.

For other statements of the same argument see B. P. Adarkar, "Federal Finance in Australia," *Economic Record*, XII (1936), 3, and Joseph P. Harris, "Intergovernmental Relations in the United States," *Annals*, CCVII (1940), 23.

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sume that income differences among states result primarily from incomplete adjustment of resources to market criteria. This implies differences among regions and states in resource or factor ratios. More precisely, the situation is one in which the low-income levels of the "poor" sections are largely attributable to the comparative abundance of unskilled labor in relation to capital, skilled labor, and entrepreneurship. Thus, the returns to capital and entrepreneurship tend to be higher, the returns to unskilled labor lower, than the corresponding rates of return in the richer sections.[3] Income differences among regions will tend to be reduced by an out-migration of the relatively abundant resources and an in-migration of the relatively scarce resources in all areas.

Will a transfer of income by the central government from the rich geographical areas to the poor areas tend to retard, to promote, or to have no effect upon these desired resource shifts? There are many ways in which real-income transfers among regions can be accomplished. Such a transfer occurs within the central government's fiscal system, if this system is at all redistributive. But this kind of transfer has no resource effects in the geographical sense. The central government's fiscal system "treats equals equally" in principle, and in practice the differences in treatment which are present are not geographical. For resource effects in the geographical sense to be present, i.e., for an income transfer to be "resource-distorting," like units of resource must be treated differently in different geographical areas as a result of the transfer. Therefore, the argument applies only to transfers among regions which involve differential fiscal treatment among individual "equals" or among "like resource units." The following discussion is limited to three methods of income transfer which do involve differential treatment: (1) differential income taxation by the central government, (2) unconditional equalizing grants, and (3) conditional equalizing grants-in-aid.[4]

If central-government personal income tax rates are varied from area to area in some direct relation to relative income levels, while the same level and distribution of central-government expenditure are maintained, an income transfer is accomplished in a simple and practicable manner.[5] These changes in tax burdens may or may not cause changes to be made in the rates of state-local taxation (expenditure) in either the "gainer" or the "loser" states, or both. Assume first that the changes in net tax burdens generate no offsetting reactions in state-local tax and expenditure structures. The newly established fiscal pattern will provide an incentive for some individuals (families) to migrate from the high-income to the low-income states in order to reduce their total tax burden. And, more important for this problem, some of the low-income states' residents who might otherwise have moved out in response to market-determined rewards will be induced by the reduced fiscal pressures to

[3] The areas with such relatively low rewards to the bulk of the labor force are classified as "poor" for three obvious reasons. First, the income of an area is generally calculated not in gross but in per-capita or median terms. Second, labor applied in an area tends to reside in the same area, whereas this need not be true of capital or entrepreneurship. Third, labor produces and receives a much larger share of the total social product than does capital.

[4] Geographically discriminatory central-government expenditure represents another method of accomplishing such a transfer. The resource effects will be similar to some of those of the other methods, and this method will not be separately analyzed here.

[5] Interarea equalization of fiscal treatment might be the objective of this type of transfer policy. For a detailed discussion of this method see my "Federalism and Fiscal Equity," *op. cit.*

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remain. This effect cannot be controverted. However, the conclusion that the transfer will tend to be "resource-distorting" rather than "resource-correcting" is valid only upon the acceptance of an extremely simple model in which all human resource units are homogeneous and all other resources are geographically immobile. Such a model clearly is not approximated in the real world. All types of labor are not abundant in the low-income regions; only the categories of the unskilled and the semiskilled are relatively overcrowded. Highly skilled labor and entrepreneurship are relatively scarce, along with capital. In so far as the income transfer tends to reduce the net out-migration of unskilled and semiskilled labor from the low-income states, it may be considered "resource-distorting." But, in so far as it tends to reduce the net out-migration (or increase net in-migration) in the ranks of the highly skilled technicians, professional people, and potential entrepreneurs, the transfer is "resource-correcting."[6] It seems probable that the latter groups are more "tax-conscious" than the former, although this conclusion might be reversed if negative income taxes (subsidies) were introduced into the structure. The fiscal incentives provided *rentier* groups have no direct resource-allocative effects, since these groups, as human resources, are not currently productive. But, if the net in-migration of *rentiers* into the low-income state tends to be accompanied by a movement of capital, this effect of the income transfer is conducive to desired resource adjustment. Apart from this indirect effect, this type of income transfer should exert no influence upon the location of capital investment.

On balance, the resource effects of the transfer of income by geographically discriminatory personal income taxation cannot be determined a priori if there are no offsetting changes in state-local fiscal systems. Adverse effects will be present for some segments of the labor force, favorable effects for other segments. The net result cannot be determined without empirical investigations into actual situations.

This conclusion is reinforced if the case is considered in which the transfer policy does generate offsetting reactions in state-local fiscal systems. Here the analysis becomes equivalent, in all essential respects, to that of an unconditional grant and need not be considered separately.

Assume now that the central government transfers income among states by a series of equalizing unconditional grants. "Equalizing" means that more money is transferred per capita to the low-income states. An unconditional grant is defined as a grant of funds to a subordinate unit with no conditions attached concerning the manner or direction of expenditure. Upon the receipt of a grant the recipient (low-income) state faces a wide range of alternative changes which can be made within the state-local fiscal system. The same level of public services may be retained, allowing state-local taxes to be reduced by the amount of the grant. At the other extreme, the whole of the grant may be employed to expand the provision of services, with taxes unchanged. The normal situation would probably be

[6] The excessive out-migration from the South of its more productive, professional, and educated groups has long been decried by southern leaders, and there is widespread recognition that an insufficient supply of potential entrepreneurs is almost as important as insufficient capital in maintaining the region's economic backwardness. On these points see Calvin B. Hoover and B. U. Ratchford, *Economic Resources and Policies of the South* (New York: Macmillan Co., 1951), pp. 38 ff., and W. H. Baughn, "Capital Formation and Entrepreneurship in the South," *Southern Economic Journal*, XVI (1949), 147–60.

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some combination of tax reduction and expenditure expansion.

If the grant is applied solely to the financing of existing state-local expenditures, thus allowing state-local taxes to be reduced, no clearly discernible pattern of resource distortion or correction appears. Specific effects will, of course, depend directly upon the type of tax which is reduced and the amount of the reduction. Certain generalizations may be made, however, without an analysis of each particular tax. The major portion of state-local revenue is derived from indirect taxes (excises, specific, and/or general) and nonpersonal direct taxes (property taxes), with the former constituting the primary revenue source for state governments and the latter for local units. Relatively little revenue is produced at either level by direct personal taxes (income taxes). If the supposed reduction takes place at the state level in the form of the reduction or repeal of excises, the resource-allocative effects will be slight, if present at all. The permanency and continuing popularity of indirect taxes is perhaps primarily attributable to their "hidden" nature. They are not "felt" in such a way that they enter significantly into conscious individual choices among alternative occupational opportunities. But, even if this is not true and allocative effects are present, the analysis outlined above also applies here. The net effect would be "resource-distorting" for the less skilled segments of the labor force and "resource-correcting" for the remaining groups.

If state taxes are maintained at constant rates, the funds from the grant may be used to allow some reduction in taxes at the local-government level. This will mean reduction in property tax rates and assessments, or true rates. For the most part this affects real property to the exclusion of other forms. In this case it seems evident that the over-all results must be considered as promotive of desired resource adjustment. In the long run, the reduction in tax rates on real property will tend to decrease rents, thus exerting some resource effects on all occupational classes, some of which will be in the right direction, others of which will be adverse. But, in the short run, the lowering of tax rates does not reduce rents. Therefore, the out-migration of unskilled workers is not discouraged appreciably. Members of this group seldom own large amounts of taxable property and do not benefit much from the windfalls resulting from a rate reduction. There is some short-run effect on the persons who own real property; the latter tend to be, however, the skilled, the professional, the proprietary.

But the major resource effect of the reduction of true property tax rates will probably be on the movement of capital. Local property tax burdens must enter into the calculations of prospective industrial investors. If tax reductions are accompanied by corresponding reductions in the provision of local services or by a shifting of local taxes to other local groups, the net effects on industrial location may be negligible or even adverse. The unilateral reduction of local property taxes, however, cannot be overlooked as a locational factor of some import.

The assumption underlying the argument outlined by Scott and others seems to be that the grants are to be used primarily to extend and expand the provision of state-local public services. Here, as above, a detailed analysis would require a discussion of the effects of expanding each state-local public service. But limitation to a few general types is necessary and possible. An expansion of the so-called "general" functions of

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state-local government need not be considered. The expansion can be assumed to take place in one of the following four areas: highways, education, social services,[7] and unemployment compensation or relief.[8]

The analysis here is of the conditional grant-in-aid. Such a grant is defined as one from the central government to a state-local unit with conditions attached concerning the manner or direction of expenditure.[9] The resource effects of a required expansion of state-local services will be no different from a similar expansion resulting from the choice of the state-local unit.[10]

Central-government grants to states for the maintenance and the expansion of the highway system will be considered first.[11] The provision of a relatively better highway system in the low-income states seems likely to exert negligible effects on the geographical mobility of human resources. Few individuals will remain in a low-income area because the road system is improved when, otherwise, they would have moved out. On the other hand, the improved highway system will have some effect on the geographical mobility of capital resources, and in the right direction. Highways constitute an integral part of the total transportation system and are becoming more and more important in industrial-location decisions. The provision of a relatively better highway system in a low-income state will tend to attract capital investment which perhaps could not otherwise be attracted, including investment in transportation itself. On balance, then, it must be concluded that equalizing highway grants tend to promote rather than to retard desired resource adjustment.

Next, the allocative effects of equalizing educational grants must be analyzed. Available data concerning internal migration within the United States indicate that the higher the school-leaving age the greater the proportion of the population which migrates. In addition, among those who do migrate, a greater proportion of the better-educated groups migrate longer distances.[12] These facts may be explained by two basic reasons. First, the better educated are more fully informed concerning the availability of alternative employment opportunities. Second, they are more fully cognizant of the advantages to be secured from the higher real income which migration to

[7] Included in the "social services" are such services as old age assistance, provision of public health facilities, assistance to the blind, aid to crippled children, etc.

[8] In the fiscal year 1950, grants to states in these four areas comprised more than 90 per cent of the total value of federal grants in the United States. The remaining grants were for miscellaneous services that seem to exert no significant resource effect. These grants were for activities such as the following: federal airport program, agricultural experiment stations, vocational rehabilitation, forest fire cooperation, national forest funds, etc.

[9] The conditional grant-in-aid in the United States has frequently been accompanied by matching requirements, requirements that the state-local unit raise certain funds to match the federal funds in a specific ratio. This additional condition need not be analyzed here.

[10] The fiscal effects will, of course, be different. In the case of expansion of service resulting from free state-local choice there will be no budgetary distortion. But when the expansion is dictated by the conditions imposed, the expansion of the service may not be consistent with state-local choice, and thus the budget may be distorted from the "optimum."

[11] This analysis applies only to grants which are "equalizing." But, owing to the prevalence of matching provisions which have prevented low-income states from taking advantage of some grants, the grant-in-aid structure in the United States taken as a whole has not been "equalizing," although it contains equalizing grants. Per capita grants to states are positively correlated to per capita incomes by states, although not significantly.

[12] United States Bureau of the Census, *16th Census of the United States, Population, Internal Migration, 1935–1940*, "Social Characteristics of Migrants" (Washington: Government Printing Office, 1946)

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other areas may make possible. Equalizing educational grants would likely increase somewhat the average number of years of schooling completed in the low-income states, as well as the efficiency of the schooling at all levels.[13] The resulting increased mobility of the labor force in these states need not be accompanied by decreased mobility in other areas; therefore, this effect must promote desired resource adjustment. Even if the educational levels of the low-income states were to be improved at the expense of reducing the educational standards of the high-income states, the resource effect would still be beneficial, since a net outmigration from the low-income states is needed. This effect of equalizing grants on mobility of the labor force via increased school-leaving age will become fully operative only after a relatively long time period. The inauguration of such a grant-in-aid program will affect potential migration of people currently of school age.

Short-run effects are derived from decisions made by families concerned with currently available educational facilities for their children. The relative inadequacy of educational programs in the low-income states causes some families to migrate from, or fail to migrate to, these states. But the unskilled and the semi-skilled groups would not seem to be significantly affected by such considerations. The families who seriously consider educational facilities as important in the making of a locational choice tend to be the educated themselves: the technicians, the professionals, the managers, and the proprietors.

The improvement of educational facilities in the low-income states will also tend to be "resource-correcting" in its effect upon capital inflow. A better-educated labor force will prove more attractive to potential investors, other things remaining the same. Public education can do much toward providing the labor force with the minimum essentials of training, which have heretofore been missing in the school systems of the low-income states. Educational grants, if not bound up with arbitrary and restrictive conditions, can supply the low-income states with the financial means of shaping a program directly toward their primary need, industrialization. The "farm" boys can then be taught the rudiments of industrial techniques, not provided in the general environment of a predominantly agricultural society.[14] Obviously, this beneficial effect will not be present if the grants are conditioned so as to prevent this type of program from being put into effect, for example, grants-in-aid to provide training in vocational agriculture.

If the grant-in-aid results in expanded expenditure in the field of the social services, the argument advanced by Scott and others is more applicable. But some breakdown among the different social services is necessary even here. First of

[13] The proportion of the population of school age attending school and the median number of years of schooling completed in each state are both closely correlated with the average expenditure per pupil. For data on school attendance and median schooling completed see United States Bureau of the Census, *16th Census of the United States, Population*, Vol. II: *Characteristics of the Population*. For data on average expenditure per pupil see United States Office of Education, *Advance Statistics of State School Systems, 1939–1940* (Washington: Government Printing Office, 1942). Cited in Hansen and Perloff, *State and Local Finance in the National Economy* (New York: W. W. Norton & Co., 1944), pp. 18 f. See also Hoover and Ratchford, *op. cit.*, p. 32, Table XIV.

[14] Cf. D. Gale Johnson, "Mobility as a Field of Economic Research," *Southern Economic Journal*, XV (1948), 160. See also T. W. Schultz, "Reflections on Poverty within Agriculture," *Journal of Political Economy*, LVIII (1950), 12 f., for a discussion related to, but not specifically including, the topics of this and the few preceding paragraphs.

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all, grants making possible the relative improvement of public health facilities in the low-income states seem to be almost identical in effect with the educational grants discussed above. This improvement would not only make it possible for greater numbers to be physically able to migrate but would also provide an incentive for additional capital investment in a region endowed with a more robust labor force. Few, if any, families are influenced in their occupational and locational choices by the availability of better hospitals, and those who are so influenced are either the better educated or the unproductive.

More direct effects will, of course, be present when the grants are conditioned so as to require expenditure on the provision of social assistance to the relatively unproductive groups: the blind, the aged, the crippled, etc. These groups, for whom public assistance at the state-local–administered level provides an essential and important means of support, are influenced in their choice of residence by comparing the assistance payments made in the different states. Yet, since these groups are relatively unproductive, the resource-allocative effects will not loom large; in so far as they are unproductive they are not resources in an economic sense. Resource-allocative effects will be present if members of such groups are partially productive or are members of families in which there are productive workers. It is perhaps to the advantage of the lower-income states and of the nation to have as many such people move out as possible. Grants of an equalizing nature which allow these states to expand public assistance will reduce the net out-migration for these groups. In an argument just the reverse of the one examined here, Mr. Birch apparently justifies conditional grants of this nature in order to "protect" the "more progressive" states from such migrants.[15]

Grants providing unemployment relief will likely be resource-distorting. This is evidently the case when unemployment is not general and grants are made to provide relief in areas where isolated blocs of surplus labor exist. Such grants clearly tend to preserve the structural dislocation indicated by the presence of the unemployment. But the areas receiving this type of grant do not necessarily coincide with those of permanent low incomes. The same is true for relief grants made in times of general unemployment. If, as is the case in the United States, the low-income states are predominantly agricultural, relatively less actual unemployment may appear in these states than elsewhere, although underemployment will be present to a greater degree.

The scope of this paper does not allow a detailed discussion of other and more specific grants-in-aid. The analysis given above is sufficient to indicate that no general pattern of resource distortion can be established. Without further qualification it cannot be stated that income transfers from the high-income to the low-income areas will tend to retard the movement of resources toward their most productive employments. In each case the results will depend upon the way in which the transfer is carried out and the relative importance of the offsetting effects on different resource categories. In most of the cases discussed above the transfers seem to have the effect of en-

[15] "The problem of social legislation may be stated simply. If the policies adopted vary significantly from one state to the next, the chances are that the more progressive states will suffer. The unemployed and the unwell will be attracted to them, while industry will be repelled" (A. H. Birch, "Federalism and Finance," *Manchester School of Economic and Social Studies*, XVII [1949], 164).

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couraging the flow of resources in the direction indicated to be desirable by market criteria. In some cases the effects will clearly be the opposite, but the exact results cannot be ascertained in any case without detailed empirical inquiry.

The argument that geographical income transfers of the sort discussed will, in general, tend to prevent desired resource shifts seems to rest on three errors in reasoning. First, attention has been concentrated on the mobility of only one of the two basic productive factors, labor. A relative surplus of labor implies a relative shortage of capital resources, and the movement of capital is as important as that of labor in attaining long-run resource equilibrium. The effects of grants on the inflow of capital to the poor areas has been almost completely overlooked. Second, homogeneity in the labor force itself has been assumed. This assumption is useful for many problems, but it leads to error here. Although the low-income areas are characterized by a relative abundance in the quantitatively important segments of the labor force, many selective types of labor are relatively scarce. Third, the specific way in which the transferred funds are expended has not been considered. The analysis assumes that grants are always used to provide "good things" for the people, but the precise nature of the "amenities" has rarely been spelled out. If it had been recognized that different means of expending the transferred funds exert different effects, this would itself have been sufficient to limit drastically the generality of the argument.

II

The generality of the initial argument may be reduced still further, however, if it can be shown that the existence of geographical income differentials is not due solely to resource disequilibria and that substantial interarea differences might well be present even with perfect resource adjustment. The assumption that income differences are almost wholly attributable to improper resource allocation lies behind much of the discussion. The following statement is representative: "If competition were perfect in the sense that there were no limitations on the divisibility and mobility of factors, little or no geographical differences in wealth or income could continue to exist."[16]

Income differences among geographical regions may be attributed in the main to resource maladjustment, and certainly most competent students of the problem of the low-income region of the United States, the South, agree that this is of primary importance. But to attribute differences wholly to this seems incorrect. Geographical differences in rewards to like units of resource will be completely eliminated by the free play of economic forces (i.e., no restrictions upon either migration or trade).[17] Factor-price equalization, however, carries with it no full equalization of incomes, although it tends, of course, to reduce the differentials. It will eliminate income differences only on the acceptance of one of two highly unrealistic assumptions. First, if it is assumed that all units of the labor force are homogeneous and possess equal capacities to move into varying occupa-

[16] United States Congress, *Federal, State, and Local Government Fiscal Relations* (Senate Doc. No. 69) (78th Cong., 1st sess. [1943]), p. 185.

[17] As Samuelson has shown, under certain conditions freedom of commodity trade is all that is required to achieve this result. The degree to which freedom of commodity trade without freedom of migration will actually promote factor-price equalization in an existing real-world situation seems an open question. (P. A. Samuelson, "International Trade and the Equalization of Factor Prices," *Economic Journal*, LVIII [1948], 167–84, and "International Factor-Price Equalization Once Again," *Economic Journal*, LIX [1949], 181–97.)

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tional categories, then regional disparities in income will tend in the long run to be removed by resource-shifting. No matter how the areas are delineated, per capita real incomes will tend to be equal in all areas.[18]

If the assumption of homogeneity among human resource units is relaxed, then per capita real incomes in different regional areas of an economy will tend to be equalized only if all areas are completely identical in all the factors which make for distinct occupational characteristics. If men possess differing inherent or acquired capacities, something supplementary to equalizing income differences will arise among occupational groups. Hence, for per capita incomes to be the same the occupational patterns within all areas must be substantially identical.[19] This would require that there be no distinguishing differences in climate, topography, soil, mineral resources, proximity to sea, invested capital resources, etc. In one sense, all of these are productive "factors," but to speak of perfect divisibility and mobility of such geographically fixed characteristics as climate and mineral resources is nonsensical. Evidently this assumption of equivalent occupational characteristics cannot be accepted even as a first approximation to any real-world situation. The acceptance of this would deny the existence of many of the advantages of interregional or international trade.

Differences among states in average-real-income levels would likely be present therefore even should the marginal conditions of optimum resource adjustment be satisfied. It can be shown further that these marginal conditions can never be satisfied in such situations unless some interarea transfers of income are made. If income levels are different, then the fiscal "pressures" upon like resource units will tend to be different. In the low-income states, taxes must be higher and/or benefits from combined state-local services lower than in the high-income states.[20] Resource units in the low-income states will be subjected to a heavier fiscal "pressure" than like units in other states. Therefore, if market conditions alone should indicate identical real rewards for a resource unit in a high-income and in a low-income state, the owner of the unit would tend to be attracted to the high-income state by the more favorable fiscal position. Hence, the optimum allocation of economic resources defined by market criteria will not be the equilibrium allocation attained by individual choices. This distortion can only be removed by a system of equalizing interarea income transfers. Such a system would have as its objective the removal of fiscal differences among like resource units, the enforcement of "equal treatment for equals."[21] In this case, the argument that equalizing grants tend to prevent desirable resource allocation is just the reverse of the truth. Income transfers are required be-

[18] If equalizing differences in money incomes tended to be geographical, then the equalization of real incomes might well be accompanied by geographical differences in money incomes. For example, average money income in New York might well be higher in such an equilibrium position than average money income in Vermont. The best indication that such an equilibrium between the low-income and the high-income areas has not been attained is continuing net migration.

[19] Except for the accidental situation in which occupational patterns differ but offset each other. "Occupational pattern" in the sense used here must also include the occupation of enjoying leisure, for differences in the attractiveness of areas for the *rentier* groups will obviously tend to cause geographical income differentials.

[20] For a discussion of this point in considerably more detail see my "Federalism and Fiscal Equity," *op. cit.*

[21] This proposal has been discussed at length in "Federalism and Fiscal Equity," *ibid.*

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fore the optimum can be attained. It must be conceded, however, that the distortion considered here will not be present except in the neighborhood of the equilibrium position. Thus, while the conclusion of this section tends to lessen the generality of the Scott argument, it is not directly applicable to current situations in the real world where a significant portion of the areal inequalities in incomes could certainly be removed by resource shifts.

III

There remain to be examined briefly the over-all implications of the resource argument for public policy. The use of the fiscal system to promote a more desirable allocation of economic resources has often been proposed. The Marshall-Pigou proposals to tax increasing-cost industries in order to subsidize decreasing-cost industries are perhaps among the most familiar. However, none of these proposals has ever been made with the complete neglect of distributional considerations.[22] But the Scott objection to federal grants implies a negative utilization of the fiscal mechanism to secure optimum resource adjustment without any attention at all to the distributional effects of such action. And, in this case, these effects are clearly contrary to commonly accepted ethical standards. If a transfer of income from a high-income to a low-income state is justified on other grounds, then the failure to carry out the transfer on the basis of this efficiency argument obviously leaves the poor worse off, relative to the rich, than they would have been had the transfer been carried through as proposed.

[22] See A. C. Pigou, *A Study in Public Finance* (3d rev. ed.; London: Macmillan & Co., Ltd., 1949), p. 100.

It is evident that the positive-policy equivalent of this efficiency objection would not be generally acceptable in a liberal society. No one has come forward with a proposal to tax the low-income agricultural laborers of the cotton-growing South at a much heavier rate than their "equals" elsewhere in order to provide them with an added incentive to move off farms into industry. Nor has anyone suggested that the proper solution to the whole problem of distressed and blighted areas is the severe and discriminatory taxation of residents to force desired out-migration. Yet the support of such seemingly harsh and oppressive measures is similar to objecting to interarea income transfers solely on "allocative" grounds. Thus, even if the economic analysis behind the resource-allocation argument against central-government grants to low-income states were completely acceptable, which it has been shown not to be, the use of this objection in forming policy would carry with it many implications concerning the proper use of the "fisc" which cannot and should not be summarily passed over without thorough examination.

Equalizing transfers carried out by the central government designed to relieve the fiscal plight of the low-income states, whether in the form of differential tax rates or in that of equalizing grants, cannot be rejected for efficiency reasons. It has been shown that the allocative effects vary from instance to instance, allowing no universally applicable conclusions to be drawn. In specific cases resource effects should perhaps be taken into account, but primarily the transfer policy should be based on alternative objectives: equity, national interest, and the preservation of minimum standards of the public services.

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